EXCLUSIVE RECORDING AGREEMENT (SAMPLE DOCUMENT FOR DEMONSTRATION ONLY - NOT A REAL CONTRACT)

This Agreement is made between the Company and the Artist.

1. TERM
The initial period begins on the Effective Date and continues for two (2) years. The Company holds three (3) separate options to extend, each for one (1) year, exercisable at the Company's sole discretion.

2. GRANT OF RIGHTS
The Artist grants the Company exclusive ownership of all master recordings delivered under this Agreement, in perpetuity, throughout the universe, in all media now known or later devised.

3. ROYALTIES
The Company shall pay the Artist twelve percent (12%) of Net Receipts, calculated after deduction of all recording costs, marketing costs, video costs and tour support.

4. RECOUPMENT
All advances and costs are fully recoupable from the Artist's royalty share before any royalty is payable.

5. CONTROLLED COMPOSITIONS
Mechanical royalties are limited to seventy-five percent (75%) of the statutory rate, capped at ten (10) compositions per album.

6. RE-RECORDING RESTRICTION
The Artist shall not re-record any composition delivered hereunder for a period of five (5) years following the end of the Term.

7. ACCOUNTING
Statements are rendered semi-annually. Any objection must be raised within twelve (12) months or is permanently waived.